WARNING: Don't Buy the Anthropic IPO Yet

Channel: Brandon Carter · Published: Nov 08, 2026 · Watch: https://www.youtube.com/watch?v=wCUsuFKmgG4 Source: full transcript

📋 Executive Summary

Derek Moneyberg argues against buying the Anthropic IPO at launch due to typical post-IPO price spikes and crashes. He favors indirect AI exposure through energy infrastructure, rare earth minerals, and small modular reactors — and promotes options contracts as the highest-leverage legal wealth-building tool.

📑 Contents

- 🚀 Anthropic's IPO: The Big Picture
- ⚠️ Why Derek Won't Buy the IPO at Launch
- 📈 Anthropic's Explosive Revenue Growth
- 🌐 Who Will Win the AI Race? Nobody Knows
- ⛏️ The "Picks and Shovels" Infrastructure Strategy
- ⚡ Energy Investments: Pipelines, Uranium, and Nuclear
- 🌍 Rare Earth Minerals: Getting Paid No Matter Who Wins
- ⚛️ Small Modular Reactors (SMRs): High Risk, High Reward
- 🏪 The "Boring Stocks" Philosophy: REITs and Retailers
- 📉 Buy When Things Are on Sale
- 🎯 Options Contracts: The Highest-Leverage Tool
- 🎓 Live Training Event: November 10th

🚀 Anthropic's IPO: The Big Picture 0:48

- Anthropic filed its S-1 and is targeting an IPO around mid-November 2026
- Target valuation discussed: approximately **$1.5 trillion**
  - For context, SpaceX's IPO was discussed at ~$1.7 trillion
- That amount of capital has to come from somewhere
  - Derek argues it will pull money out of other asset classes:
    - Downward pressure on housing markets (people diverting down payment money)
    - Downward pressure on other stocks, especially AI-adjacent sectors
  - "That's a lot of wealth transfer. That's a lot of money to move around."

⚠️ Why Derek Won't Buy the IPO at Launch 3:31

- Derek explicitly states: "I'm not going to buy the IPO. I'm not going to buy it at all."
- His reasoning follows a predictable IPO price pattern:
  - Step 1 — IPO launches; competing buyers drive the price up 30–50% immediately
  - Step 2 — A few days to two weeks later, the stock goes "on sale" and pulls back
  - Step 3 — That pullback is the preferred entry point, not the IPO day
- He cites SpaceX as a recent example of this exact pattern playing out
- His advice: if you're going to buy, wait for the post-IPO dip
  - Caveat: "If you don't know what you're doing, you about to be f***ed up."
- He cautions against using AI models to pick stocks
  - AI gives the same answer to 100,000 people — at best you get average returns
  - "If you want to make some money, you got to do the training."

📈 Anthropic's Explosive Revenue Growth 1:57

- Revenue trajectory is extraordinary:

Year	Revenue
2023	$41 million
2025 (full year)	$4.6 billion
H1 2026 (first half only)	$16.3 billion

- Brandon: "Have you seen growth like that before in any business?"
- Derek acknowledges the growth is real but emphasizes future leadership is still uncertain

🌐 Who Will Win the AI Race? Nobody Knows 2:20

- "It's not clear to anybody. It's not clear to Zuckerberg. It's not clear to Elon. It's not clear to Sam [Altman]."
- One company will be the breakaway leader; others may find profitable niches but fall short of their current ambitions
- Derek's prediction: one of these companies will become the **first $10 trillion market cap company**
  - Candidates he mentions: SpaceX/Tesla merger, or one of the leading AI model companies
- Major geopolitical risk: China is a serious contender
  - China has 4× the energy production of the US
  - China faces far fewer regulations — can build nuclear plants anywhere without environmental review
  - "A lot of people think that's China right now, which is very dangerous for the future."
  - Derek argues US must lead in AI on a macro level for national security reasons

⛏️ The "Picks and Shovels" Infrastructure Strategy 12:34

- Core philosophy: don't bet on which AI company wins — invest in what ALL of them need to function
- Classic analogy invoked: the 1800s California Gold Rush
  - The individual gold miners rarely got rich
  - **The people who got rich sold the picks, shovels, and supplies**
  - "I don't want to be in the wilderness chipping away at some rocks."
- Derek's AI infrastructure holdings cover:
  - Energy (natural gas pipelines, uranium, nuclear)
  - Rare earth minerals (magnets, semiconductors, batteries)
  - Small modular reactors
- "They can't make the things they need to make for the AI stuff to function if they don't have the energy and they don't have the rare earth minerals."

> "I don't need to own Anthropic. But I own a bunch of rare earth mineral companies. If you want to make a magnet, Derek Moneyberg got paid."

⚡ Energy Investments: Pipelines, Uranium, and Nuclear 9:44

- Derek believes electricity demand is permanent and will only grow with AI data centers
- **Energy Transfer** (natural gas pipeline MLP) — a key holding:
  - Bought heavily around **$5/share** (dropped to $3.75 during 2020 hysteria)
  - Current price: approximately **$20–$21/share** (~400% appreciation)
  - Dividend (return of capital) at time of purchase: **$0.60/share annually**
  - Current distribution: approximately **$1.32/share annually**
  - At $5 cost basis collecting $1.32/year = ~26% annual cash-on-cash yield
  - MLP tax advantage: distributions reduce cost basis; no taxes owed until cost basis reaches zero and stock is sold
    - "If your cost basis is zero because you collected enough dividends that you made a profit from it, and then you sell the stock later and you get $21 for something you now have $0 invested in — it's like millions of dollars of free money."
- Also owns uranium and uranium mines
  - Rationale: nuclear energy must scale to compete with China; "we have to scale the nuclear or we don't have a country"

🌍 Rare Earth Minerals: Getting Paid No Matter Who Wins 11:22

- Derek owns "a bunch of rare earth mineral companies"
- Use cases that require rare earth minerals (all roads lead to his portfolio):
  - Magnets for robotics (Elon's humanoid robots, etc.)

    - Microchips and semiconductors
    - Batteries (EVs, energy storage)
    - Memory chips
- "If you want to make a magnet, Derek Moneyberg got paid. If you want to make a microchip or a semiconductor, they need my rare earth minerals."
- Strategy is agnostic to which AI company wins — all require the same underlying materials

⚛️ Small Modular Reactors (SMRs): High Risk, High Reward 14:25

- SMRs = small nuclear reactors roughly the size of a semi-truck or train car
- Three publicly traded SMR companies; Derek owns all three in roughly equal proportion:
    - **NuScale Energy** — ticker symbol **SMR**
        - Was at $57/share with no contracts (purely speculative)
        - Now trading just over **$5/share** — down over **90%**
    - **Xe Energy** (ticker mentioned)
    - **Oklo** — ticker **OKL**
- Key backers in the space: one company backed by a major AI firm, one by Amazon, one by Meta/Zuckerberg
- Regulatory status: five stages of approval required; most leading companies are at stage 3 or 4
    - Already deployed in China; not yet approved in the United States
- Derek's logic for owning all three:
    - If one goes bankrupt, he loses "some seven-figure number, a couple million dollars"
    - But one of them "is going to go do a **30x**" once contracts are awarded
    - "It was already 10x with no contract."
- Strong disclaimer: "If you don't understand what you're buying, I strongly recommend you don't buy s*** you don't understand because you're going to lose some money."

🏪 The "Boring Stocks" Philosophy: REITs and Retailers 7:44

- Derek favors owning the infrastructure around consumer trends, not just the trendy companies
- Real estate example — mall REITs:
    - Owns interests in ~400 of the best malls in the US and globally
    - **Simon Property Group (SPG)**:
        - Bought at **~$50–51/share**
        - Sold at **$225/share**
        - Was collecting dividends of $6 → $7 → $8/share annually; received ~$8.20 at time of sale
        - After factoring in distributions, effective cost basis dropped to roughly **$12/share**
        - Net result: approximately **15–20x return** on a "boring" REIT

    - Also bought best retailers within those malls (Nordstrom, Macy's, etc.)
- Utility/energy analogy:
    - "I think electricity is going to be popular in the future" — people always pay their electric and gas bills
    - Owns natural gas pipelines rather than heaters or air conditioner manufacturers
- Key principle: position yourself in the middle of the supply chain, not at the speculative end

📉 Buy When Things Are on Sale 16:52

- Warren Buffett-style mindset: the stock market is the only place where people get scared when prices drop
- Derek's analogy:
    - If your favorite clothing store had a 90% off sale, you'd buy extra
    - If Rolls-Royce offered 90% off, "I hit everyone up. All the money I can buy, borrow, or whatever I got to do."
    - If your neighbor's house was 90% off, you'd buy it immediately
- Typical retail investor behavior (what NOT to do):
    - See stock going down → scared, don't buy
    - See it recover slightly → "I'm going to wait till it goes down again"
    - Paralyzed by both directions
- SMR stocks going down 90% doesn't scare Derek — he keeps buying more
    - "I don't mind if it goes down more. I just keep buying more, man."

🎯 Options Contracts: The Highest-Leverage Tool 18:41

- Derek calls options "the best thing in the world... a gift from the heavens"
- Four permutations of options:
    - Buy a call
    - Sell a call
    - Buy a put
    - Sell a put
- Derek's personal preference ranking:
    - Favorite: **selling puts**
    - Second: **selling calls**
    - Occasionally: **buying calls** (when he has strong conviction on a move)
    - Never: buying puts — "I don't believe in betting against myself and buying insurance policies"
- Leverage examples:
    - SpaceX IPO scenario: stock up 40% (~$60 move); call option bought for **$1** could now be worth **$60** — a **59x return** on the dollar

    - Put contract scenario: stock drops from $200 to $105 ($95 move); put bought for **$0.20** = **$475x return**; put bought for **$0.10** = **$950x return**
    - Palantir example: stock up 31% in one day; Derek owned the stock and made 31%
        - Had he owned the right call options (e.g., paid $0.10, received $25 back = 250x)
        - Hypothetical: $1 million in contracts → potentially **$250 million in one day**
- Critical caveats:
    - "It's not get rich quick. It's not free money."
    - Risk is real — you can lose money just as fast
    - Must understand parameters: which contract type to buy or sell under which circumstances
    - "If you treat the stock market like a casino, you're going to file bankruptcy."
- Shoutout to Ken Griffin of Citadel as the ultimate options success story:
    - Became the biggest market maker in the world for options
    - Bought a Chicago penthouse; purchased a **$110 million painting** at auction
    - Couldn't fit it in the elevator → hired a helicopter to lift it to the rooftop → cut a hole in the roof → paid for the entire building's new roof as compensation

🎓 Live Training Event: November 10th 25:46

- Brandon Carter and Derek Moneyberg hosting a **live options training**
- Date: **Tuesday, November 10th**
- Time: **8:00 p.m. Eastern / 5:00 p.m. Pacific**
- Format: 100% live, with Q&A — not a pre-recorded course
- Topics covered: options contracts fundamentals, how to choose the right contract type, how to maximize returns
- Disclaimer repeated: not risk-free, requires knowledge and preparation
- "There's no drug you could sell to make the same amount of money that you can make legally if you understand how the stock market works in options contracts."
- Participants instructed to click the link to register